Zheyuan (Kevin) Cui

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References

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Education

2021 – 2027 (Expected)	**Princeton University** Ph.D. Candidate in Economics, Bendheim Center for Finance Expected Graduation: May 2027	Princeton, NJ, USA
2019 – 2021	**University of California – Los Angeles** M.A. in Mathematics (Ph.D. Course Track)	Los Angeles, CA, USA
2017 – 2021	**University of California – Los Angeles** B.S. in Applied Mathematics (Highest Honor), Economics (Highest Honor)	Los Angeles, CA, USA

Research Interests

Asset Pricing, Fixed Income, Financial Intermediary, AI & Productivity

Job Market Paper

Tax Heterogeneity, Duration Risk, and the Term Structure: An Application to the Municipal Bond Puzzle [Link to Paper] [SSRN]

Abstract: I develop a term-structure model in which investors with heterogeneous taxes and balance sheets choose taxable and tax-exempt bonds jointly across maturities under short-sale constraints. Taxes and risk-bearing capacity endogenously segment bond ownership, making the tax rate embedded in yields vary with maturity. The literature benchmarks tax-exempt municipal bond yields against the after-tax taxable bond yields of top-bracket households, the highest-tax investors. The model explains the municipal bond puzzle: short-term municipal yields closely match this benchmark, but thirty-year yields exceed it by 118 basis points. Lower-tax investors with liabilities that offset interest-rate risk bear duration risk more cheaply, so they hold long

municipal bonds and long yields reflect their lower taxes. Without targeting municipal yields, the calibrated model explains 83 percent of this gap. Empirical tests confirm the model's prediction that household tax effects weaken with maturity while those of lower-tax investors strengthen.

Publication

The Effects of Generative AI on High-Skilled Work: Evidence from Three Field Experiments with Software Developers *with Mert Demirer, Sonia Jaffe, Leon Musolff, Sida Peng, Tobias Salz.* [Link to Paper]

Coverage: *New York Times, 2025 Economic Report of the President*
***Management Science*, Forthcoming**

Abstract: This study evaluates the effect of generative AI on software developer productivity via randomized controlled trials at Microsoft, Accenture, and an anonymous Fortune 100 company. These field experiments, run by the companies as part of their ordinary course of business, provided a random subset of developers with access to an AI-based coding assistant suggesting intelligent code completions. Though each experiment is noisy and results vary across experiments, when data is combined across three experiments and 4,867 developers, our analysis reveals a 26.08% increase (SE: 10.3%) in completed tasks among developers using the AI tool. Notably, less experienced developers had higher adoption rates and greater productivity gains.

Working Papers

Familiarity in International Equity Investment: Concentrated Value, Pervasive Allocation Bias *with Yinan Qiu. [Link to Paper]*

Abstract: Does familiarity convey information or produce bias? Using 2000–2024 data from 1,663 active U.S. international equity funds and managers' foreign education as a familiarity proxy, we examine both country allocation and stock selection. Funds overweight education-linked countries, yet these sub-portfolios do not outperform. Within familiar countries, the most active quartile of stocks earns a monthly five-factor alpha of 41 basis points, while the remaining holdings earn no significant alpha. The overweight persists after removing top-quartile stocks. Familiarity's value is concentrated, its allocation footprint pervasive: information and bias coexist at margins that country-level averages obscure.

Public Debt Resolution and the Relocation of Local Information Rents: Evidence from Bank Wealth-Management Products in China *with Tao Shen, Tianqi Zhi.*
Draft available upon request

Abstract: China's 2023 program to defuse local government debt risk had an unintended cost for small local banks, which compete with national banks in the RMB 30 trillion wealth-management market through local credit. Their products hold three times the portfolio share of local government financing vehicle (LGFV) bonds that national banks' products do, mostly from their home provinces, and these holdings deliver the higher returns and fewer losses that attract return-chasing investors. By moving LGFV risk onto provincial balance sheets, the program compressed credit spreads within and across provinces. The premium on home-province bonds fell by two-thirds, and local banks retreated. The premium largely survived in non-standard debt, negotiated claims with no public price, but only the largest local banks had the scale to move into it. De-risking public bonds relocated the return to local information into opaque claims that require scale, and the smallest banks lost most.

Work in Progress

The Limits of Debt Discipline: Risk-Based Regulation and Shadow Finance *with Tao Shen, Wei Xiong, Tianqi Zhi.*

Abstract: We study whether regulating public borrowing by risk contains that risk or merely moves it. China restricts local government borrowing according to assessed risk and later gives the riskiest regions priority for debt relief. With the development commitments behind this borrowing still in place, we find that financing pressure is largely relocated, not resolved. Regions that borrowed aggressively in the past face tighter financing and later grow more slowly, while debt keeps accumulating in fiscally stronger regions despite weak cash returns. Local government financing vehicles facing rating-based bond restrictions turn to costly shadow finance: nonstandard debt from trusts and leasing companies. After the 2023 debt-resolution program, bond financing eases far more than nonstandard financing: the same borrower's nonstandard premium over its bonds widens by 176 basis points. Relief that rewards risk also invites moral hazard: regions that received less of it, and were seen as less risky, keep expanding into this costly debt. Debt discipline can make the bond market look safe while the risk it was meant to contain moves into costlier, less visible corners of local finance.

Languages

Chinese (native), English (fluent)
Last updated: Oct. 2026